

The New Digital Financial System at HCS

Advantages, Drawbacks, and Recommendations

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This short report looks at the new digital system that was introduced at HCS as part of the Financial Business Process Improvement (BPI) project with CRS and iWork Consulting. The old way of working was mostly on paper, with many signatures needed for even small payments. The new system moved key processes like travel requests, per diem, and liquidation onto SharePoint, Power Automate, and Microsoft Teams. Below, I explain what is working well, what still needs improvement, and what I think could make the system even better.

1. Advantages of the New System

- **Faster approvals:** Before, a travel request could take days because it needed 5 to 10 signatures. Now, most travel requests are approved in about 2.3 hours because the approval chain has been reduced to fewer people.
- **Less paper, less cost:** HCS spent about ETB 2.4 million on paper and printing in 2024 alone. The digital forms cut down on this kind of spending and reduce the physical movement of documents between offices.
- **Clear tracking of every request:** Every request now gets its own unique ID (for example TR-2025-100211). This means nothing gets lost, and anyone can check the status of a request at any time.
- **Built-in checks that stop mistakes early:** The system automatically blocks things like overlapping travel dates or missing budget codes, so problems are caught before money is even paid out, not after.
- **Real-time dashboards:** Power BI dashboards now show leadership exactly how much money has been requested, approved, and liquidated, broken down by project, department, or staff member. As of September 2025, 776 travel/per diem requests worth ETB 4.6 million had already been processed this way.
- **Stronger audit trail:** Every action is time-stamped: who submitted it, who approved it, and when. This is much harder to fake or lose compared to paper files.
- **Builds digital skills:** Around 40 staff, including senior leadership, were trained to use SharePoint, Teams, and Power BI. This is useful for HCS beyond just this one project.

2. Drawbacks and Challenges

- **Not everyone has access:** Out of 323 staff who used the system, only 83 had their own official HCS Microsoft 365 accounts. This meant many people could not submit their own requests and had to rely on someone else to do it for them.
- **Old computers and weak internet:** Some offices still use very old computers, some even running Windows 7, which is outdated and does not work well with newer tools. Poor internet connection in field offices also slows things down.

- **Staff still print things out:** Even though the system is digital, some staff still print the approvals and attach them to paper Payment Vouchers, because they are not fully confident that the digital record is enough proof for audits.
- **Work was pushed to one person:** Early on, one staff member was creating 54% of all requests on behalf of colleagues. This defeated the purpose of digitizing the process, since it just centralized the workload again instead of spreading it out.
- **It is not a full accounting system:** SharePoint and Power Automate are useful tools, but they are not a replacement for a proper ERP or accounting system. Some manual work, like matching things in Peachtree, is still needed.
- **Some rules still need higher approval:** Some good ideas, like reducing the number of signatures needed or paying advances partially upfront, cannot be done by HCS alone. They need approval from the Ethiopian Catholic Secretariat (ECS), so progress on those points is slower.
- **Templates are not the same everywhere:** Field trip report templates are different depending on the donor, and per diem rates are not calculated the same way across job grades and locations, which makes the digital form less consistent.

3. Recommended Better Solutions

Based on what I found, here are some practical steps that could make the system stronger and easier for everyone to use:

- **Give every staff member an official account:** HCS should prioritize giving Microsoft 365 accounts to all staff who need to submit or approve requests, including drivers and woreda-level staff where possible, so no one has to depend on a colleague to submit for them.
- **Upgrade old computers and improve internet:** Replacing outdated laptops and desktops (especially ones still on Windows 7) and improving internet connections at HQ and field offices should be a priority, since this is the foundation that all other digital tools depend on.
- **Stop printing for proof:** Leadership should clearly tell staff that the digital, time-stamped record is enough and does not need a printed copy. This should be backed up by short training sessions to build trust in the system.
- **Keep training going, not just once:** Instead of a single round of training, HCS could run short refresher sessions every few months, led by the champions who already know the system well, so new staff and slower adopters do not fall behind.
- **Set a rule that no one submits for someone else:** Except in real cases where someone truly has no access (like drivers), staff should be required to submit their own requests. This keeps the accountability where it belongs and avoids centralizing work again.
- **Standardize templates and per diem rules:** HCS should work towards one common field trip report template and one clear, agreed per diem calculation method, so the digital form works the same way for every project and every donor.
- **Push for the ECS-level reforms:** HCS leadership should keep following up with ECS on the bigger reforms, such as reducing signatures for low-risk transactions and releasing 80–90% of advances upfront, since these changes would remove some of the biggest remaining bottlenecks.

- **Plan for a full system later:** SharePoint and Power Automate are a good bridge, but HCS should continue planning for a proper ERP system in the future so that Finance, HR, and Procurement can all share data automatically instead of needing manual double-entry.

4. Conclusion

Overall, the new digital system is a big step forward for HCS. It has made requests faster, more transparent, and easier to track, and it has already saved a lot of time compared to the old paper-based process. At the same time, there are still real gaps, mainly around access, equipment, and full staff trust in digital records. Fixing these gaps, together with continued follow-up on the policy changes that need ECS approval, will help HCS get the full benefit of the system it has already built.